Tiered VIX Regime Strategy // 30-Year Backtest

1994-01-03 → 2026-03-24
387 months | $38,700 total invested

VIX < 20 (Low)	VIX 20–28 (Calm)	VIX 28–35 (Stressed)	VIX > 35 (Panic)
Invest $100 · No saving	Invest $95 · Save $5 to reserve	Invest $100 · Deploy 50% of reserve	Invest $100 · Deploy ALL reserve

IRR WINNER — ANNUALISED RETURN

8.50% IRR (Strategy)

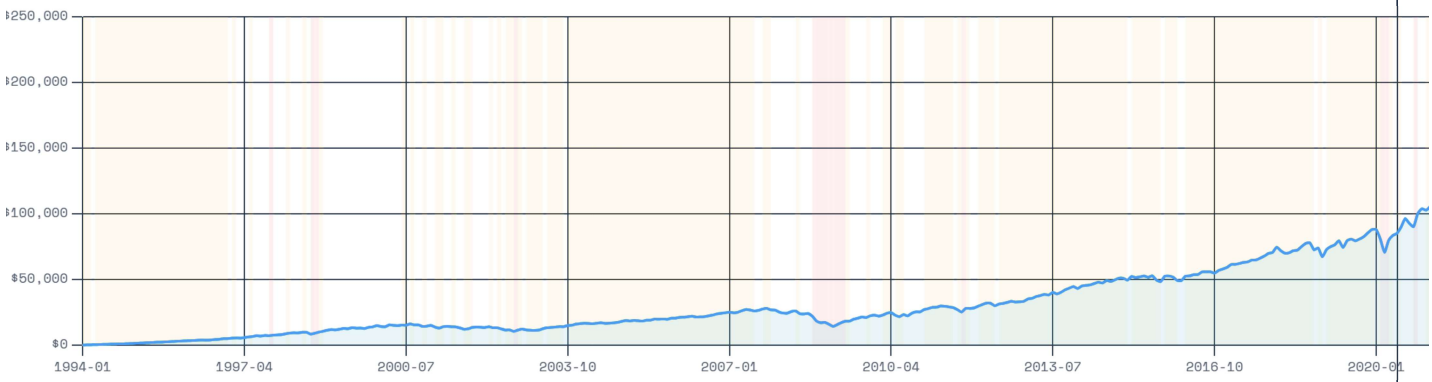
vs 8.50% for the baseline

+0.0006 pp advantage

	Baseline	Strategy
ANNUALISED IRR (wins)	8.50%	8.50%
FINAL PORTFOLIO	$189,887	$189,911
TOTAL RETURN	390.7%	390.7%
MAX DRAWDOWN (LESS NEGATIVE = BETTER)	-53.2%	-53.2%
ANNUALISED VOL (LOWER = BETTER)	28.8%	28.8%
CASH RESERVE LEFT	–	$62

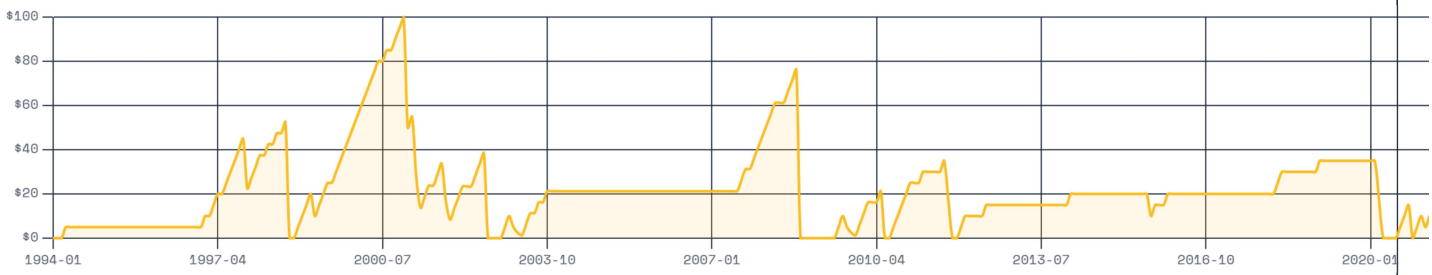
CUMULATIVE PORTFOLIO VALUE

Baseline (100% DCA) Strategy (tiered) VIX >28 zones



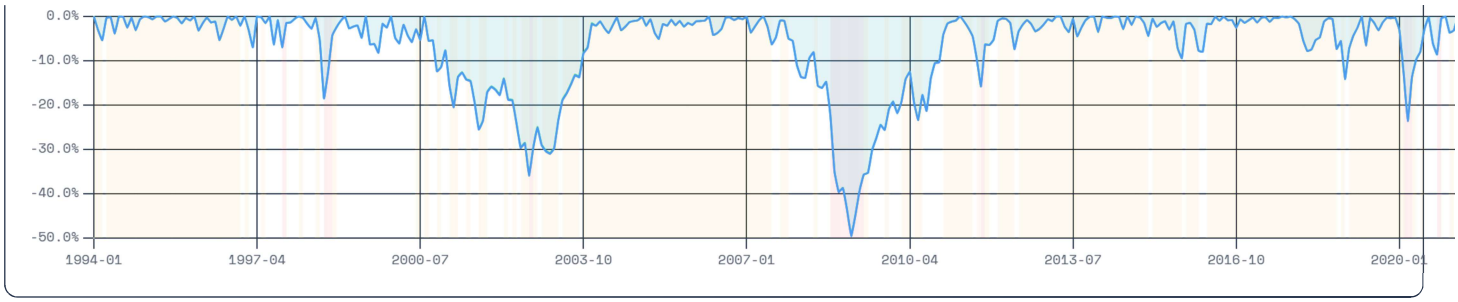
TACTICAL CASH RESERVE OVER TIME

Cash reserve ($)

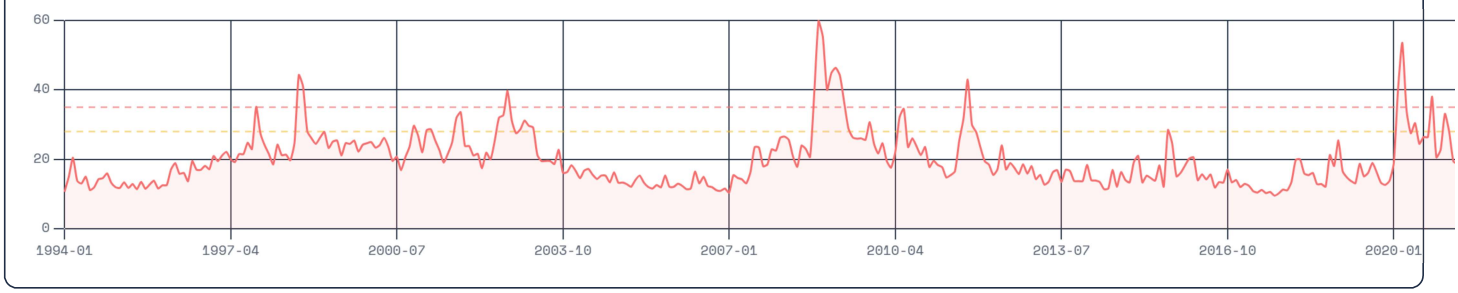


DRAWDOWN FROM PEAK (%)

Baseline Strategy



VIX LEVEL & REGIME THRESHOLDS



REGIME DISTRIBUTION (% OF TRADING DAYS)

Low (VIX<20): 60.9% — 233 invest days · Calm (20–28): 27.5% — 109 invest days Stressed (28–35): 7.4% — 28 invest days Panic (VIX>35): 4.3% — 17 invest days

Assumptions: $100/month on first trading day of each month. No transaction costs. SPX index price only, no dividends. Baseline = 100% DCA every month. Strategy = tiered VIX-based logic with a growing cash reserve. IRR uses exact dated cash flows, annualised via Brent's method. Volatility = annualised std dev of daily returns × √252.